Executive Summary

PowerCo

Recommendation: hold the 20% discount and target retention instead

- Don't roll out a blanket 20% discount yet. Price is a weak driver of churn, so it would cut margin on customers who weren't planning to leave
- Improve the churn model so it catches more at-risk customers, then offer retention deals only to them
- Investigate the non-price drivers: consumption, profitability and the highest-churn sales channel

Situation

- Market liberalisation has increased competition, and ~10% of PowerCo's SME customers churned in the period analysed

Complication

- Price changes ranked low as predictors; consumption and margin were the strongest signals of churn
- The current model is precise (81% of flagged customers did leave) but catches only ~5% of churners (17 of 366)

Question

- Is price sensitivity the main driver of SME churn, and would a 20% discount keep at-risk customers?